SQUARING OFF

Squaring Off a position basically means exiting a position that you have i.e. selling the contract that you own. Here, we take the opposite trade to the current position. If you sell futures contract that you have bought, or buy shares that you had previously short sold, it is called Squaring off.

For example, if you have have bought TCS Futures, you will have to sell it to square off the position i.e. remove your exposure. If you had previously short sold, then you will have to buy to square off the position.